SwiftTrader Kenya - Official Trading Guide

Stop-Loss, Leverage, and Margin Calculator Guide for Kenyan Forex & Crypto Trade

Online Guide: https://swifttrader.co.ke/insights/stop-loss-leverage-margin-calculator-guide-kenya

Free Trading Cheat Sheet (PDF)
Download this complete KES/USD Margin & Lot Size Reference Guide for offline use.

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Why Kenyan Traders Lose Capital to Margin Calls

Whether you are funding your trading account in Nairobi with 15,000 KES (~$115 USD) via M-Pesa STK Push or managing a larger USDT portfolio, over-leveraging remains the primary cause of account liquidation. Understanding the exact math behind Margin, Leverage, and Stop-Loss placement separates CMA-compliant professionals from retail gamblers.

1. Understanding Leverage and Required Margin (KES to USD)

Leverage allows you to control a large position with a fraction of the capital.
Formula: Required Margin = (Contract Size x Lots x Current Price) / Leverage.

Example on Gold (XAU/USD): Suppose Gold trades at $2,650, and your account leverage is 1:100. Buying 0.05 lots (5 ounces) requires $132.50 (~17,100 KES) at 1:100 leverage, or $26.50 (~3,420 KES) at 1:500 leverage.

2. The 2% Stop-Loss Rule for M-Pesa Funded Accounts

Never risk more than 1% to 2% of your total equity on a single trade. If your account holds $200 (approx. 25,800 KES), your maximum loss per trade must be capped at $4.00.

3. Calculating Position Size Before Entering a Trade

Use this exact formula before clicking Buy or Sell on MT5: Lot Size = Risk Amount ($) / (Stop-Loss in Pips x Pip Value per Standard Lot). By automating your Stop-Loss and using instant M-Pesa margin top-ups only for planned scaling, you ensure long-term survival in the Nairobi forex and crypto markets.